

hypothetical investment options. Option 1 guarantees you an income of \$40,000 per year—offering you a chance at a risk-free lifestyle. Option 2 offers you a 50 percent chance at \$50,000 and a 50 percent chance at receiving \$30,000 each year. Which option would you choose?

- a. Option 1
- b. Option 2

Question 2: Suppose you are preparing for retirement. You need \$50,000 to live comfortably, but could take care of basic needs at about \$40,000, and could even survive on a minimum of \$30,000 if necessary. Further assume that there is no inflation. Now, imagine that you are choosing between two hypothetical investment options. Option 1 guarantees you enough income to cover your needs, but it will never provide you a comfortable lifestyle. With Option 2, you have the opportunity for a better lifestyle. With a probability of 50 percent, you might be limited to your bare minimum acceptable income. But with a corresponding probability of 50 percent, you would enjoy the comfortable lifestyle you desire and an income of \$50,000. Which option do you choose?

- a. Option 1
- b. Option 2

Test Results Analysis

Mini-Test 1: People who answer the second question differently from the first are likely subject to framing bias. If you are a practitioner and your client answers in this fashion, then you should remain mindful of the manner in which you present information to the client—because subjective details can have a dramatic impact. Typically, investors susceptible to framing bias choose the riskier strategy in Question 2.

Mini-Test 2: This test can't be interpreted too rigidly because lifestyle preferences are not black and white. However, people subject to framing bias will probably prefer an assured income in Question 1 and a riskier strategy in Question 2. This is because Question 1 is framed in a relatively positive fashion, focusing on the attribute "safe" lifestyle offered from the guarantee in Option 1. The framing in Question 2, however, is less upbeat; it reminds you that neither investment option offers you a reliably pleasurable standard of living. When framing intersects with loss aversion, this type of response pattern is especially likely to result.